

AN INTENTIONALLY DEFECTIVE TRUST

We're talking about ways to overcome the effect of estate taxes. It's bad enough that you have to give one-third to one-half of everything you earn to the government during your lifetime. You don't want to pay more when you finally adjourn.

This year is special. Congress extended a special estate tax break until the end of 2012. After January 1, 2013, the tax could go back up to 55 percent. This is a huge savings this year. It's tempting to trip mama at the top of the stairs. Or even fall down yourself. You could save a lot of money.

But unless you're sure you're going to enter the celestial choir before midnight on December 31, 2012, you need a strategy for moderating the effects of the death levy. You could try an insurance program. Or you could use something called an "intentionally defective trust."

Let's say you have a pawnshop. It produces \$100,000 in net earnings per year. It is worth \$1 million, if you were to sell it. But you want to pass it on to your heirs.

Here's what you do: You sell it to a trust with your children or grandchildren as beneficiaries. You retain a right to change the trustee. The trust is, therefore, defective. *For federal income tax purposes, it is as though it didn't exist.* But for estate tax purposes, it effectively transfers the asset into a trust for the benefit of those people you want to have it.

You sold the pawnshop. You didn't give it away. So far, so good. No gift taxes, either. But the buyer (the trust) needs to pay you for it. You have taken the asset and transferred it to the trust. So the trust takes the income—\$100,000 per year—and pays it to you. Meanwhile, you use the money to pay the taxes on the earnings and to pocket what is left.

At the end of, say, 10 years, the trust owns the pawnshop free and clear. Then you give up the right to change the trustee. This perfects the trust: From this point on, the trust is viewed as the owner for U.S. federal income tax purposes, as well as for inheritance tax purposes. The asset has been transferred, free of death taxes.